

PACS Diversification: LPG Distributorship Eligibility

Initiative Overview

- **Type of Initiative:** This is a strategic Primary Agricultural Credit Societies (PACS) diversification initiative aimed at modernizing cooperative structures.
- **Current Status:** The initiative is officially recommended to add to the existing portfolio of approved PACS business activities.

Core Purpose and Objectives

- **Business Expansion:** To significantly expand PACS business opportunities by allowing them to venture into the energy retail sector.

- **Economic Viability:** To transform PACS into multi-service economic entities, increasing their financial sustainability and footprint.
- **Rural Distribution:** To leverage the deep rural network of PACS to improve the distribution and accessibility of Liquefied Petroleum Gas (LPG) in remote areas.

Eligibility and Compliance Criteria

- **Statutory Compliance:** Participating PACS must be legally registered and in active compliance with local cooperative laws.
- **Oil Marketing Company Rules:** Eligibility is strictly subject to the current LPG-distributorship rules and guidelines set by national Oil Marketing Companies

(OMCs).

- **Financial and Operational Health:** PACS must meet the specific financial stability, land, and infrastructure conditions prescribed in the standard OMC selection criteria.

Expected Benefits and Support

- **New Revenue Streams:** Provides a major potential new revenue and service activity for participating PACS, reducing dependency on traditional credit operations.
- **Community Empowerment:** Enhances the service delivery capacity of the cooperative, directly benefiting rural consumers with reliable fuel access.
- **Institutional Strengthening:** Enhances the overall market relevance and operational resilience of the cooperative

society.

Application and Access Procedure

- **Standard Selection Pathway:**
Applications must be channeled through the officially applicable LPG distributorship selection and authorization process.
- **Competitive Bidding/Allotment:** PACS must participate via the standard open advertisements or specific reservation quotas advertised by OMCs, where applicable.

Required Documentation and Data

- **Cooperative Proofs:** Valid PACS registration certificates and updated

compliance/audit reports.

- **Operational Data:** Eligibility, financial statements, and governance compliance documents.
- **Application-Specific Papers:** All mandatory site, land ownership/lease, and financial capacity documents prescribed in the current OMC selection process.

Typical SIA Questions

- **Core Capability:** Can PACS legally apply for and operate an LPG distributorship under current cooperative laws?
- **Operational Conditions:** What are the specific infrastructural, financial, and regulatory conditions that a PACS must fulfill to qualify?

- **Process Navigation:** Where and through which official platform or authority is the formal application made?

Official Source Family

- **Governing Authority:** Ministry of Cooperation, Government of India – Primary Agricultural Credit Societies (PACS) related development and diversification schemes.